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Tech titan flees San Francisco for Florida, says city is poorly managed

Keith Rabois, a former exec at Square and PayPal, has lived in the Bay Area for two decades

By Julia Musto | FOXBusiness |

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Tech titan Keith Rabois says he's leaving California's Silicon Valley and moving to the Sdouth Florida metropolis of Miami.

U.S. Stock Market Quotes
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Quote Lookup
DOW JONES AVERAGES (I:DJI)
46,771.25
▲ 429.74 (+0.93%)
NASDAQ COMPOSITE INDEX (I:COMP)
21,903.80
▲ 313.17 (+1.45%)
S&P 500 (SP500)
6,591.67
▲ 63.15 (+0.97%)

Rabois, formerly an executive at companies such as Square and PayPal, announced the decision during Tuesday's Meridian financial conference.

CALIFORNIA CONSIDERING STATEWIDE CURFEW AMID COVID-19 SURGE, GOV. NEWSOM SAYS

“I think San Francisco is just so massively improperly run and managed that it’s impossible to stay here,” he told Fortune's Robert Hackett.

A recent report from real estate firm FCP and analytics group Orbital Insight said South Florida is one of the top destinations for Americans moving during the COVID-19 pandemic.

Rampant homelessness and relentless wildfires have disrupted the last few years for longtime Bay Area residents. The strain of the coronavirus only adds strain to cities already under duress.

The 51-year-old New Jersey native has lived in the Bay Area for 20 years. He pointed out that many have taken similar actions over the past couple of years.

The Bay Area -- once known for the garages of technology greats -- has seen the departures of PayPal's Peter Thiel and Palantir's Alex Karp and Joe Lonsdale, or what some call a "tech exodus."

Rabois explained that the pandemic gave him the push he needed to get out the proverbial door -- noting any hesitancy was "more psychological than real."

In addition, the investor explained that he had observed Americans' changing habits over the course of the year, asserting that residents of heavily-populated and pricey cities have been exposed to the "downsides" of urban life during the pandemic.

“Bay Area searches for rent are in free-fall, they’re down like 30%,” Rabois added.

"It’s very clear right now, people are shifting their preferences pretty massively,” he said, though noting attitudes could shift once a vaccine is introduced to the public.

A remote work environment has also played a role, with employees in hubs like New York City opting for cheaper rents as long as they are allowed to work from home. Many companies are making that option permanent.

Video

Among Miami's attractions: The warmer weather. The temperature in the Florida city was 79 degrees on Thursday morning, compared with just 51 degrees in San Francisco.

“Miami is an incredibly beautiful city, cosmopolitan, has an interesting mix of New Yorkers, Latin Americans, and Europeans,” he told conference members.

“Living in the Bay Area for 20 years, it’s just like, all the things you wish you had,” Rabois concluded.